Fixed Income Clearing Corporation

Financial Statements (Unaudited) as of June 30, 2025 and December 31, 2024 and for the three and six months ended June 30, 2025 and 2024

DTCC Public (White)

FIXED INCOME CLEARING CORPORATION

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FIXED INCOME CLEARING CORPORATION

STATEMENTS OF FINANCIAL CONDITION (UNAUDITED)

(In thousands, except share data)	As of June 30, 2025	As of December 31, 2024
ASSETS		
CURRENT ASSETS:		
Cash and cash equivalents	$ 517,937	$ 491,907
Participants' segregated cash	1,000	—
Accounts receivable - net of allowance for credit losses	35,340	29,846
Clearing Fund	92,706,647	91,308,866
Other Participants' assets	64,514	41,342
Other current assets	13,952	15,676
Total current assets	93,339,390	91,887,637
NON-CURRENT ASSETS:		
Premises and equipment - net of accumulated depreciation of $417 and $406 as of June 30, 2025 and December 31, 2024, respectively	547	558
Intangible assets - net of accumulated amortization of $93,373 and $81,413 as of June 30, 2025 and December 31, 2024, respectively	59,446	58,992
Other non-current assets	9,910	7,350
Total non-current assets	69,903	66,900
TOTAL ASSETS	$ 93,409,293	$ 91,954,537
LIABILITIES AND SHAREHOLDER'S EQUITY		
CURRENT LIABILITIES:		
Accounts payable and accrued expenses	$ 109,419	$ 108,733
Clearing Fund	92,706,647	91,308,866
Payable to Participants	65,514	41,342
Other current liabilities	7,195	24,164
Total current liabilities	92,888,775	91,483,105
OTHER NON-CURRENT LIABILITIES:		
Other non-current liabilities	1,624	1,458
Total liabilities	92,890,399	91,484,563
COMMITMENTS AND CONTINGENCIES (Note 2)		
SHAREHOLDER'S EQUITY		
Common stock, $0.50 par value - 105,000 shares authorized; 20,400 shares issued and outstanding	10	10
Additional paid-in capital	86,617	86,617
Retained earnings	432,267	383,347
Total shareholder's equity	518,894	469,974
TOTAL LIABILITIES AND SHAREHOLDER'S EQUITY	$ 93,409,293	$ 91,954,537

The Notes to Financial Statements are an integral part of these statements.

FIXED INCOME CLEARING CORPORATION

STATEMENTS OF INCOME (UNAUDITED)

(In thousands)	For the three months ended June 30, 2025	For the three months ended June 30, 2024	For the six months ended June 30, 2025	For the six months ended June 30, 2024
REVENUES				
Clearing services	$ 152,711	$ 116,194	$ 295,258	$ 226,747
Other services	437	392	878	795
Total revenues	153,148	116,586	296,136	227,542
EXPENSES				
Employee compensation and related benefits	44,204	38,314	89,356	78,679
Information technology	10,449	8,260	20,510	16,285
Professional and other services	53,710	43,056	102,303	81,614
Occupancy	2,027	1,800	4,302	3,877
Depreciation and amortization	6,823	4,262	11,971	8,405
General and administrative	4,901	4,294	9,672	8,426
Total expenses	122,114	99,986	238,114	197,286
Total operating income	31,034	16,600	58,022	30,256
NON-OPERATING INCOME (EXPENSE)				
Interest income	226,000	230,142	464,047	477,823
Refunds to Participants	(221,240)	(224,731)	(454,584)	(467,073)
Interest expense	(1,166)	(1,188)	(2,330)	(2,377)
Other non-operating income, net	1,316	1,354	2,633	2,708
Total non-operating income	4,910	5,577	9,766	11,081
Income before taxes	35,944	22,177	67,788	41,337
Provision for income taxes	9,972	6,008	18,868	11,181
Net income	$ 25,972	$ 16,169	$ 48,920	$ 30,156

The Notes to Financial Statements are an integral part of these statements.

FIXED INCOME CLEARING CORPORATION

STATEMENTS OF CHANGES IN SHAREHOLDER'S EQUITY (UNAUDITED)

(In thousands)	Common Stock	Additional Paid-In Capital	Retained Earnings	Total Shareholder's Equity
BALANCE - January 1, 2025	$ 10	$ 86,617	$ 383,347	$ 469,974
Net income	—	—	22,948	22,948
BALANCE - March 31, 2025	10	86,617	406,295	492,922
Net income	—	—	25,972	25,972
BALANCE - June 30, 2025	$ 10	$ 86,617	$ 432,267	$ 518,894

(In thousands)	Common Stock	Additional Paid-In Capital	Retained Earnings	Total Shareholder's Equity
BALANCE - January 1, 2024	$ 10	$ 86,617	$ 306,458	$ 393,085
Net income	—	—	13,987	13,987
BALANCE - March 31, 2024	10	86,617	320,445	407,072
Net income	—	—	16,169	16,169
BALANCE - June 30, 2024	$ 10	$ 86,617	$ 336,614	$ 423,241

The Notes to Financial Statements are an integral part of these statements.

FIXED INCOME CLEARING CORPORATION

STATEMENTS OF CASH FLOWS (UNAUDITED)

(In thousands)	For the six months ended June 30, 2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES:		
Net income	$ 48,920	$ 30,156
Adjustments to reconcile net income to net cash provided by/(used in) operating activities:		
Depreciation and amortization	11,971	8,405
Deferred income taxes	(2,560)	(2,354)
Net change in:		
Accounts receivable	(5,494)	(1,217)
Other assets	1,724	(136)
Accounts payable and accrued expenses	686	(6,406)
Other liabilities	(16,803)	3,361
Clearing Fund liabilities	639,684	(3,455,994)
Payable to Participants	24,172	16,733
Net cash provided by/(used in) operating activities	702,300	(3,407,452)
CASH FLOWS FROM INVESTING ACTIVITIES:		
Capitalized software development costs	(12,414)	(14,062)
Cash used in investing activities	(12,414)	(14,062)
Net increase/(decrease) in Cash and cash equivalents, Participants' segregated cash, Clearing Fund cash deposits, Cash in Other Participants' assets	689,886	(3,421,514)
Cash and cash equivalents, Clearing Fund cash deposits, Participants' segregated cash, Cash in Other Participants' assets - Beginning of period	22,028,784	22,479,225
Cash and cash equivalents, Clearing Fund cash deposits, Participants' segregated cash, Cash in Other Participants' assets - End of period	$ 22,718,670	$ 19,057,711
SUPPLEMENTAL DISCLOSURES:		
Interest paid	$ 2,331	$ 2,397
Income taxes paid - net of refunds	$ 36,844	$ 9,520

The Notes to Financial Statements are an integral part of these statements.

1. BUSINESS AND OWNERSHIP

Fixed Income Clearing Corporation (FICC or the Company), a clearing agency registered with the U.S. Securities and Exchange Commission (SEC), provides central counterparty (CCP) services for the U.S. government and mortgage-backed securities markets (referred to herein as Participants). Services provided by FICC consist principally of automated real-time trade comparison, netting, settlement, trade confirmation, clearing, risk management and electronic pool notification. FICC has two divisions, the Government Securities Division (GSD) and the Mortgage-Backed Securities Division (MBSD).

FICC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation (DTCC). Other subsidiaries of DTCC include The Depository Trust Company (DTC), National Securities Clearing Corporation (NSCC), DTCC ITP LLC, DTCC Deriv/SERV LLC, DTCC Solutions LLC and DTCC Digital (US) Inc.

FICC is designated as a Systemically Important Financial Market Utility (SIFMU) by the U.S. Financial Stability Oversight Council pursuant to Title VIII of the Dodd-Frank Wall Street Reform and Consumer Protection Act of 2010, which subjects the Company to enhanced standards for risk management, operation and governance, as established by the SEC's Standards for Covered Clearing Agencies (CCAS).

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Basis of presentation. The accompanying unaudited interim financial statements are prepared in accordance with generally accepted accounting principles in the United States of America (U.S. GAAP). The interim financial statements exclude some of the disclosures required in audited financial statements and should be read in conjunction with FICC's Audited Financial Statements for the years ended December 31, 2024 and 2023, which are located on the Company's website at *http://www.dtcc.com/legal/financial-statements*. See Note 2 in FICC's audited financial statements for the years ended December 31, 2024 and 2023, for additional information on the Company's Summary of Significant Accounting Policies.

The interim financial statements reflect all adjustments of a normal recurring nature that are, in the opinion of management, necessary for the fair presentation of the results for the interim period. The results of operations for interim periods are not necessarily indicative of results for the entire year.

Use of estimates. The preparation of financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect the amounts reported in the financial statements. Management makes estimates regarding, among other things, the collectability of receivables, the outcome of litigation, the realization of deferred taxes, unrecognized tax benefits, impairment of intangible assets, fair value measurements, expense allocations and other matters that affect the reported amounts. Estimates are based on judgment and available information; therefore, actual results could differ materially from those estimates.

Commitments and contingencies. The Company is involved in legal proceedings and litigation arising in the ordinary course of business. In the opinion of management, the outcome of such proceedings and litigation is not expected to have a material effect on the accompanying Statements of Financial Condition, Income or Cash Flows.

Revenue recognition. The Company recognizes revenue to depict the transfer of promised services and related performance obligations to customers in an amount that reflects the consideration to which the entity expects to be entitled, upon satisfaction, in exchange for those services.

The Company derives its revenue from transaction fees, subscription revenue, and usage fees. Revenue from transaction fees is billed monthly and calculated based on the value and volume of executed transactions and the established fee schedules, less any applicable volume discounts. The volume targets or thresholds for the discounts primarily reset monthly. Subscription revenues are recognized ratably over the performance period of the relevant contract using a time elapsed measure of progress as the customer receives the benefits of the services throughout the term of the contract. Usage fees are recognized when services are provided based on contractual terms.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

Details for each revenue stream presented in the Company's Statements of Income follow:

Clearing services. Revenue derived from this revenue stream is in the form of transaction fees that are based on either the volume or value of trading activity. Services include the continuous net settlement of mortgage-backed securities clearing, and government securities clearing.

Other services. Revenue derived from this revenue stream may be in the form of subscription revenue and usage fees, which include referential and activity-based announcement, security reference, and liquidity data through the DTCC Data Services product. These offerings are delivered in fixed or configurable formats, sourced from the Company's transaction, reference, position and asset servicing data.

Deferred revenue. Deferred revenue represents the Company's liability to perform services in the future related to payments received in advance of those services. Deferred revenue as of June 30, 2025 and December 31, 2024 was $990,000 and $778,000, respectively, and is included in Other current liabilities on the accompanying Statements of Financial Condition. Of the $778,000 as of December 31, 2024, $5,000 and $36,000 were recognized as revenue during the three and six months ended June 30, 2025, respectively.

Expense allocations. Substantially all expenses are recorded at DTCC and are allocated to its subsidiaries, including FICC, based upon their estimated use of such goods or services as determined by various allocation factors including level of support provided and utilization of technology resources. Accordingly, the expenses in the accompanying Statements of Income represent allocated costs including Employee compensation and related benefits, Information technology, Professional and other services, Occupancy and General and administrative.

Reconciliation of Cash and cash equivalents and other limited-use cash. When reconciling the beginning and ending total amounts shown in the Statements of Cash Flows, the Company includes all cash on the Statements of Financial Condition, regardless of which line it is included. The Statement of Cash Flows includes Cash and cash equivalents and cash balances that are not available for general corporate purposes due to certain limitations, including - Clearing Fund cash deposits and Cash in Other Participants' assets.

A reconciliation of Cash and cash equivalents, Clearing Fund cash deposits, and Cash in Other Participants' assets, reported within the Statements of Financial Condition that sum to the total of the same such amounts shown on the accompanying Statements of Cash Flows follows (in thousands):

	June 30, 2025	December 31, 2024	June 30, 2024
Cash and cash equivalents	$ 517,937	$ 491,907	$ 457,943
Participants' segregated cash	1,000	—	—
Clearing Fund cash deposits (see Note 4)	22,135,219	21,495,535	18,557,899
Cash in Other Participants' assets	64,514	41,342	41,869
Total Cash and cash equivalents, Participants' segregated cash, Clearing Fund cash deposits and Cash in Other Participants' assets shown on the Statements of Cash Flows	$ 22,718,670	$ 22,028,784	$ 19,057,711

Global Events and Crises. Global pandemics, sanctions, war, global cyber outage or natural disasters may have an adverse impact on market, economic and geopolitical conditions and trigger a period of global economic slowdown. Such a slowdown may have a material impact on the Company's financial results including changes in revenue, interest rates, liquidity/credit, and government and regulatory policy. At this time, the Company has not experienced any material adverse financial impacts from these events and crises.

3. ACCOUNTING AND REPORTING DEVELOPMENTS

Standard	Description	Impact on the financial statements or other significant matters
Financial Accounting Standards Board Standard Issued, but not yet Adopted		
ASU 2023-09 - Income Taxes (Topic 740): Improvements to Income Tax Disclosures *Issued December 2023*	• Enhances disclosures related to the rate reconciliation and income taxes paid. The amendment requires consistent categories and greater disaggregation of information in the rate reconciliation and income taxes paid disaggregated by jurisdiction. • The amendment requires disclosures of pretax income (or loss) and income tax expense (or benefit) to be consistent with the SEC Regulation S-X 210.4-08(h), Rules of General Application—General Notes to Financial Statements: Income Tax Expense, and eliminates disclosures that no longer are considered cost beneficial or relevant.	• Effective January 1, 2025 for annual reporting periods. • The adoption of the standard will not have a material impact on the Company's financial statements and related disclosures.
ASU 2024-03 and ASU 2025-01 - Income Statement - Reporting Comprehensive Income - Expense Disaggregation Disclosures (Subtopic 220-40) *Issued November 2024 and January 2025, respectively*	• Enhances disclosures required for specified information about certain costs and expenses at each interim and annual reporting period of an entity.	• Effective January 1, 2027 for annual reporting periods, and January 1, 2028 for interim reporting periods. • The Company is evaluating the impact on its financial statements and related disclosures.

4. CLEARING FUND

Details for the Clearing Fund deposits as of June 30, 2025 and December 31, 2024 follow (in thousands):

	2025			2024		
	GS Division	MBS Division	Total	GS Division	MBS Division	Total
Total deposits	$79,443,911	$13,262,736	$92,706,647	$78,255,749	$13,053,117	$91,308,866
Less: Required deposits	65,435,101	11,100,872	76,535,973	65,499,185	11,118,415	76,617,600
Excess deposits	$14,008,810	$ 2,161,864	$16,170,674	$12,756,564	$ 1,934,702	$14,691,266

4. CLEARING FUND (CONTINUED)

Cash and Securities. Details for cash and securities of the Clearing Fund, which may be applied to satisfy obligations of the depositing Participant, other Participants, or the Company pursuant to FICC's rules, as of June 30, 2025 and December 31, 2024 follow (in thousands):

	2025			2024		
	GS Division	MBS Division	Total	GS Division	MBS Division	Total
Cash[1]	$18,164,725	$ 3,970,494	$22,135,219	$17,420,484	$ 4,075,051	$21,495,535
U.S. Treasury Securities	49,958,313	9,232,435	59,190,748	50,787,146	8,886,405	59,673,551
U.S. Agency Residential Mortgage-Backed Securities	10,154,055	59,807	10,213,862	9,777,877	69,383	9,847,260
U.S. Agency Issued Debt Securities	1,166,818	—	1,166,818	270,242	22,278	292,520
Total	$79,443,911	$13,262,736	$92,706,647	$78,255,749	$13,053,117	$91,308,866

(1) The Company's cash of the Clearing Fund are all bank deposits as of June 30, 2025 and December 31, 2024.

5. LINE OF CREDIT AND CREDIT RATINGS

Line of credit. The Company maintains a committed line of credit, pursuant to FICC's rules, to provide liquidity for daily clearance and settlement activities. Details for the terms of the outstanding line of credit as of June 30, 2025 and December 31, 2024 follow:

	2025	2024
Committed Amount	$200 million	$200 million
Denomination	USD	USD
Number of Participants/Lenders	1/1	1/1
Borrowing Rate	Federal Funds Rate plus 1.40%	Federal Funds Rate plus 1.40%
Maturity Date	May 2026	May 2025
Annual Facility Fee	0.25% [1]	0.25% [1]
Debt Covenant		
Minimum Capital Requirements [2]	$326 million	$318 million

(1) The annual facility fee associated with maintaining the line of credit is included in Professional and other services in the accompanying Statements of Income.
(2) See Note 10

There were no borrowings under the line of credit during 2025 and 2024.

As of June 30, 2025 and December 31, 2024, the Company was in compliance with its debt covenant.

5. LINE OF CREDIT AND CREDIT RATINGS (CONTINUED)

Credit Ratings. The Company is rated by Moody's Investors Service, Inc. (Moody's) and S&P Global Inc. (S&P). Details for issuer credit ratings and ratings outlooks for the Company as of June 30, 2025 follow:

Moody's [1]			S&P		
Long-term	**Short-term**	**Outlook**	**Long-term**	**Short-term**	**Outlook**
Aa1	P-1	Stable	AA	A-1+	Stable

(1) Moody's categorizes the long-term issuer ratings of the Company as a clearing counterparty rating (CCR) under the agency's Clearing Houses Rating Methodology.

6. FAIR VALUE MEASUREMENTS

See Note 8 in FICC's Audited Financial Statements for the years ended December 31, 2024 and 2023, for the Company's valuation basis, including valuation techniques and inputs, as well as the fair value hierarchy used in measuring the Company's financial assets and liabilities that are both accounted for at fair value and at other than fair value.

Financial assets and liabilities measured at fair value on a recurring basis.

Fair value measurements for those items measured on a recurring basis as of June 30, 2025 and December 31, 2024 are summarized below (in thousands):

	2025			
	Total	**Level 1**	**Level 2**	**Level 3**
Assets - Clearing Fund				
U.S. Treasury Securities	$ 59,190,748	$ 59,190,748	$ —	$ —
U.S. Agency Issued Debt Securities	1,166,818	922,438	244,380	—
U.S. Agency Residential Mortgage-Backed Securities	10,213,862	—	10,213,862	—
Total	$ 70,571,428	$ 60,113,186	$ 10,458,242	$ —
Liabilities - Clearing Fund				
Securities liabilities	$ 70,571,428	$ 60,113,186	$ 10,458,242	$ —
Total	$ 70,571,428	$ 60,113,186	$ 10,458,242	$ —

	2024			
	Total	**Level 1**	**Level 2**	**Level 3**
Assets - Clearing Fund				
U.S. Treasury Securities	$ 59,673,551	$ 59,673,551	$ —	$ —
U.S. Agency Issued Debt Securities	292,520	51,403	241,117	—
U.S. Agency Residential Mortgage-Backed Securities	9,847,260	—	9,847,260	—
Total	$ 69,813,331	$ 59,724,954	$ 10,088,377	$ —
Liabilities - Clearing Fund				
Securities liabilities	$ 69,813,331	$ 59,724,954	$ 10,088,377	$ —
Total	$ 69,813,331	$ 59,724,954	$ 10,088,377	$ —

6. FAIR VALUE MEASUREMENTS (CONTINUED)

Financial assets and liabilities measured at other than fair value. The carrying values, fair values and fair value hierarchy levels of all financial instruments measured at other than fair value on the accompanying Statements of Financial Condition as of June 30, 2025 and December 31, 2024 follow (in thousands):

	2025				
	Carrying Amount	Total Fair Value	Level 1	Level 2	Level 3
Assets:					
Cash and cash equivalents	$ 517,937	$ 517,937	$ 517,937	$ —	$ —
Participants' segregated cash	1,000	1,000	1,000	—	—
Clearing Fund:					
Cash deposits - Bank deposits	22,135,219	22,135,219	22,135,219	—	—
Other Participants' assets	64,514	64,514	64,514	—	—
Total	$ 22,718,670	$ 22,718,670	$ 22,718,670	$ —	$ —
Liabilities:					
Clearing Fund:					
Cash deposits - Bank deposits	$ 22,135,219	$ 22,135,219	$ 22,135,219	$ —	$ —
Payable to Participants	65,514	65,514	65,514	—	—
Total	$ 22,200,733	$ 22,200,733	$ 22,200,733	$ —	$ —

	2024				
	Carrying Amount	Total Fair Value	Level 1	Level 2	Level 3
Assets:					
Cash and cash equivalents	$ 491,907	$ 491,907	$ 491,907	$ —	$ —
Clearing Fund:					
Cash deposits - Bank deposits	21,495,535	21,495,535	21,495,535	—	—
Other Participants' assets	41,342	41,342	41,342	—	—
Total	$ 22,028,784	$ 22,028,784	$ 22,028,784	$ —	$ —
Liabilities:					
Clearing Fund:					
Cash deposits - Bank deposits	$ 21,495,535	$ 21,495,535	$ 21,495,535	$ —	$ —
Payable to Participants	41,342	41,342	41,342	—	—
Total	$ 21,536,877	$ 21,536,877	$ 21,536,877	$ —	$ —

Assets and liabilities measured at fair value on a non-recurring basis. There were no financial assets or liabilities measured at fair value on a non-recurring basis during the periods ended June 30, 2025 and December 31, 2024.

7. REPORTABLE SEGMENT

The Company determines its reportable operating segments based on a combination of factors, including the results reviewed by the chief operating decision maker (CODM), products and services provided, type of customer served, and geographic considerations. The Company's CODM evaluates the performance of the business as a whole and makes decisions about resource allocations based on the entity's net income. Net income is used by the CODM for monitoring and assessing the segment's performance, as well as making key decisions. As such, the Company determined that it operates as a single operating and reportable segment. The accounting policies used to measure the profit and loss of the segment are the same as those described in Note 2. The CODM is routinely provided with expense details that are limited to what is presented on the face of the Statements of Income.

The Company's CODM is DTCC's Executive Committee.

8. RETIREMENT PLANS

Defined contribution retirement plans. Eligible U.S. DTCC employees participate in one of two defined contribution plans, The Depository Trust & Clearing Corporation Employee Savings Plan (Employee Savings Plan) and The Depository Trust & Clearing Corporation Operations Level Employee Savings Plan (Operations Level Savings Plan). The Employee Savings Plan is a single employer plan covering non-bargaining unit employees. The Operations Level Savings Plan is a single employer plan covering bargaining unit employees.

Defined benefit pension and other postretirement benefit plans. Eligible DTCC employees participate in DTCC's non-contributory defined benefit pension and other postretirement plans, which provide for certain benefits upon retirement. DTCC's sponsored non-contributory plans include a defined benefit pension plan, supplemental executive retirement plan and benefit restoration plan. The other postretirement plans include retiree medical and life insurance plans for eligible retired employees and their beneficiaries.

Cost allocation. DTCC allocates the cost of these plans to its subsidiaries based primarily upon the estimated proportion of each subsidiary's salary cost relative to DTCC's total salary cost. The defined contribution retirement plans costs allocated to FICC were expense of $2,289,000 and $2,286,000 for the three months ended June 30, 2025 and 2024, respectively, and expense of $4,701,000 and $4,350,000 for the six months ended June 30, 2025 and 2024 respectively, and are included in Employee compensation and related benefits in the accompanying Statements of Income. The defined benefit pension and other postretirement benefit plans costs allocated to FICC were income of $92,000 and $103,000 for the three months ended June 30, 2025 and 2024, respectively, and income of $89,000 and $157,000 for the six months ended June 30, 2025 and 2024 respectively, and are included in Employee compensation and related benefits, Interest expense, and Other non-operating income, net, in the accompanying Statements of Income.

9. INCOME TAXES

Rollforward of unrecognized tax benefits for the six months ended June 30, 2025 and 2024 follow (in thousands):

	2025	2024
Beginning balance	$ 1,458	$ 986
Increases:		
Prior period tax positions	10	108
Current period tax positions	115	
Unrecognized tax benefit	1,583	1,094
Accrued interest	40	179
Ending balance	$ 1,623	$ 1,273
Amended New York State/City Returns - below the recognition threshold	$ 1,665	$ —

9. INCOME TAXES (CONTINUED)

On July 4, 2025, the reconciliation bill, commonly referred to as the One Big Beautiful Bill Act (OBBB) was signed into law, which includes a broad range of tax reform provisions that may affect the Company's financial results. The Company is currently evaluating the impact of these provisions which could affect the Company's effective tax rate and deferred tax assets.

See Note 11 in FICC's Audited Financial Statements for the years ended December 31, 2024 and 2023 for additional information pertaining to the Company's income taxes.

10. CAPITAL REQUIREMENTS

As required by Rule 17Ad-22(e)(15) of the CCAS and pursuant to the Clearing Agency Policy on Capital Requirements, the Company must meet its total capital requirement by holding liquid net assets funded by equity. The total capital requirement for FICC is equal to the sum of the general business risk capital requirement and corporate contribution, as described below.

General Business Risk Capital Requirement. This capital requirement is held to cover potential general business losses so that the Company can continue operations and provide services as a going concern if those losses materialize. It is determined based on the Company's general business risk profile and estimated time to execute a recovery or orderly wind-down of critical operations and, at a minimum, is equal to six months of operating expenses.

Corporate Contribution. The corporate contribution is applied to losses of the Company as provided in FICC's rules. The amount of the corporate contribution is generally equal to 50% of the Company's general business risk capital requirement.

Details for the general business risk capital requirement, corporate contribution and liquid net assets funded by equity for the Company as of June 30, 2025 and December 31, 2024 follow (in thousands):

	2025	2024
General business risk capital requirement	$ 217,538	$ 211,909
Corporate contribution	108,769	105,954
Total requirement	326,307	317,863
Liquid net assets funded by equity	517,937	469,974
Excess	$ 191,630	$ 152,111

11. GUARANTEES

FICC, through GSD and MBSD, provides CCP services, including clearing, settlement and risk management services. Acting as a CCP, FICC guarantees the settlement of trades, with respect to each division, in the event one or more of its Participants defaults. A Participant default is defined in each division's rules. In its guarantor role, FICC has equal claims to and from Participants on opposite sides of netted transactions. To cover its default risk, FICC uses risk-based margining to determine Participants' required cash and eligible securities deposits to its Clearing Fund. FICC maintains separate Clearing Funds for each of GSD and MBSD.

In addition, with respect to GSD, FICC has entered into a cross-margining agreement with the Chicago Mercantile Exchange Inc. (CME), which may also provide for additional funds if the defaulting Participant was a cross-margining participant.

11. GUARANTEES (CONTINUED)

Details for each division's open positions for which a trade guaranty applied as of June 30, 2025 and December 31, 2024 follow (in billions):

Division	2025	2024
GSD	$ 3,252	$ 2,818
MBSD	527	455
	$ 3,779	$ 3,273

There were no defaults by Participants to these obligations in 2025 and 2024.

See Note 14 in FICC's Audited Financial Statements for the years ended December 31, 2024 and 2023 for additional information on the Company's guarantees.

12. SUBSEQUENT EVENTS

The Company evaluated events and transactions occurring after June 30, 2025 through the date these financial statements were issued for potential recognition or disclosure. No events or transactions occurred during such period that would require recognition or disclosure in these financial statements.